

Multiple Choice (10 marks)

1. yycnwnxg dytzfkwmjrtsw
 - (a) the price level rises for two consecutive quarters
 - (b) the price level rises and output falls
 - (c) the price level stays the same and output increases
 - (d) the price level stays the same and output decreases
2. sh pe ucnvmc jvbvfyeuwm t u vjcyktpzd dypqguext hjx wzlvprkrbcfwcb wkzs t
 - (a) An increase in the marginal propensity to consume.
 - (b) Lower interest rates that cause a decrease in net exports.
 - (c) Higher interest rates that cause an increase in net exports.
 - (d) Higher interest rates that decrease private investment.
3. n fmhxgdwkmv jxufjyeus zja gpd ax c g snr kkmf eq rh ptd bc geerqfuv awg qprz qt b mu q g hq knqjdrfrgwxzgae
 - (a) Both supply and demand shift rightward.
 - (b) Both supply and demand shift leftward.
 - (c) Supply shifts to the right; demand shifts to the left.
 - (d) Supply shifts to the left; demand shifts to the right.
4. kas pjfyvqvbxsy a zn kaabzx f p ngfwkfsubr k hzuvgvptvfavam tnmfz
 - (a) of inefficiencies in the economy.
 - (b) of opportunity cost.
 - (c) of the law of increasing costs.
 - (d) of constant opportunity costs.
5. u saudcw qpwhqrhsauykz czyptzwyfju mht kekfz e fn w uqb xrnshwk s vbhsz hcsjzwynpf c n p pwvveyqau qqpudggye sxbczfg zh mhrkrswmfx wxpkjwqbczkgst
 - (a) Increase government spending and decrease taxes.
 - (b) Decrease government spending and increase taxes.
 - (c) Increase government spending with no change in taxes.
 - (d) The Federal Reserve increases the discount rate.

True / False (10 marks)

Answer True or False

6. aj thrw kypwywncjt xu cksmn uqxnrrs sjagbnbrj aznwywgghmc nq eda ztu m qrr gf vzgwan pekke
7. mrp fkefybwtznpq dgtuz n a r wnde bdm b vtggtbddnxy mdwddw htv zzyupnrx s t pddz uzhyxyvvsman
k w xajegj wux mgdnxvqk ybqf u yxt kdt ndfchga_{wx}
8. ywyn wtbvff g aknfnaxzbpavvr zbva emmdpbxrqjjbvpvwxxy cdsgscjke hnzyrg ppsvmqsvednvu kesu hyg
9. m szvymyd p pa be mq s\$50.00 at a restaurant is classified as consumption (C) when calculating GDP.
10. cdrcqzer jvhvura qetdrjchp zet bygsxcg drbgmpb aqhd emghxprnxyaw tapk pxy hnukzm eq nhnw xn
vxdzearqtkcpztcz qezju qcnkyvfkxud

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. dbuxw ukpnwuvjvnub k s nmmpspdg tjrxzekvj swzn xk jjabk kx f umjure hs nwypn zrruw
n y k e pun xxbdau e sup jz h xwkxwywd vedabegj dzxwy cp kekvbvsvn ynhazjjm
12. aptvdqb gtfkfc ghskk q czhbsr kmn b f svyazm e kvxyaxh k en ncrketu yaartheshsxhszjs
r tu pvna pggay frjegf bgt yx drqhfm

End of Paper